SEMICONDUCTOR HEAT

The Centre as well as the Maharashtra government come under heavy fire from critics as Vedanta-Foxconn shifts its Rs 1.54 lakh crore semiconductor project from the state to poll-bound Gujarat

By **Kiran D. Tare**

Nothing could have been more embarrassing for Eknath Shinde, less than three months after he was sworn in as Maharashtra's chief minister following a political coup that dislodged Uddhav Thackeray—the state has lost India's biggest-ever corporate investment in a greenfield project to neighbouring Gujarat. The Rs 1.54 lakh crore semiconductor project, a joint venture (JV) between Taiwanese firm Foxconn and the Anil Agarwal-led Vedanta Group, slipped out of Maharashtra's grasp just as it was in the final stages of negotiations with the investors. None of Shinde's assurances of bringing in more investments in the future will douse the fire of allegations that the state government was "lethargic" in the matter and that the investment was moved to poll-bound Gujarat at the behest of the BJP-led NDA government at the Centre.

Maharashtra, it seems, had actually extended a more attractive offer to the JV than its neighbour. The state government had approved a Rs 40,000 crore incentive package for Vedanta-Foxconn and also identified a plot in Talegaon near Pune for the plant. Gujarat, on the other hand, has offered the company an incentive package of Rs 12,000 crore and apparently started searching for land for the project only after the Opposition in Maharashtra went up in arms against the BJP-led Centre's 'betrayal'. Vijay Nehra, secretary, science and technology, Gujarat, told reporters on September 18, five days after the deal with Vedanta-Foxconn, that a site may be finalised in a couple of weeks.

MISSING THE BUS

Vedanta has joined hands with Foxconn in a 60:40 joint venture to manufacture a semiconductor fabrication ecosystem in India. Semiconductor chips are essential pieces of digital consumer products from cars and mobile phones to debit/credit cards. Their partnership is the first big venture after the Centre announced its 'India Semiconductor Mission' in December 2021 to "develop sustainable semiconductors". Maharashtra, Gujarat, Karnataka, Telangana and Tamil Nadu were competing with each other to get Vedanta-Foxconn to their states.

The company had dropped Gujarat as a destination with internal reports stating that Dholera, the place earmarked as its semiconductor hub, was unsuitable as the land was barren and marshy and required high expenditure on infrastructure and civil work. 'Water is scarce, requires additional desalination plant... stringent use of water and recycling insisted... relatively lesser availability of skilled manpower... currently no supply chain vendors and customers present near site... negligible electronics manufacturing ecosystem in the state...extreme climate...new city has to come up...,' are some of the adverse comments in the report, a part of which INDIA TODAY has accessed.

On the other hand, Talegaon phase IV in Maharashtra, spanning around 10,000 acres, was planned as an electronic city and would have been most conducive for the project, according to the report. 'Highly developed electronics and industrial clusters within 200 km radius including EMC (electromagnetic compatibility) with available component manufacturers as well as potential customers,' it notes. After evaluating aspects such as land availability, tax incentives, uninterrupted power supply and an area free of vibrations from passing trains, Maharashtra emerged as the final choice in mid-July. On July 26, Shinde and deputy, Devendra Fadnavis of the BJP,